

EXECUTIVE SUMMARY: Customer Segmentation via RFM Analysis

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Subject: Strategic Customer Portfolio Analysis & Behavioral Segmentation

1. Objective

The objective of this analysis is to segment the customer base using the RFM (Recency, Frequency, Monetary) model. By understanding purchasing behaviors, the Sales and Marketing teams can optimize retention strategies, re-engage at-risk clients, and maximize the lifetime value of top spenders.

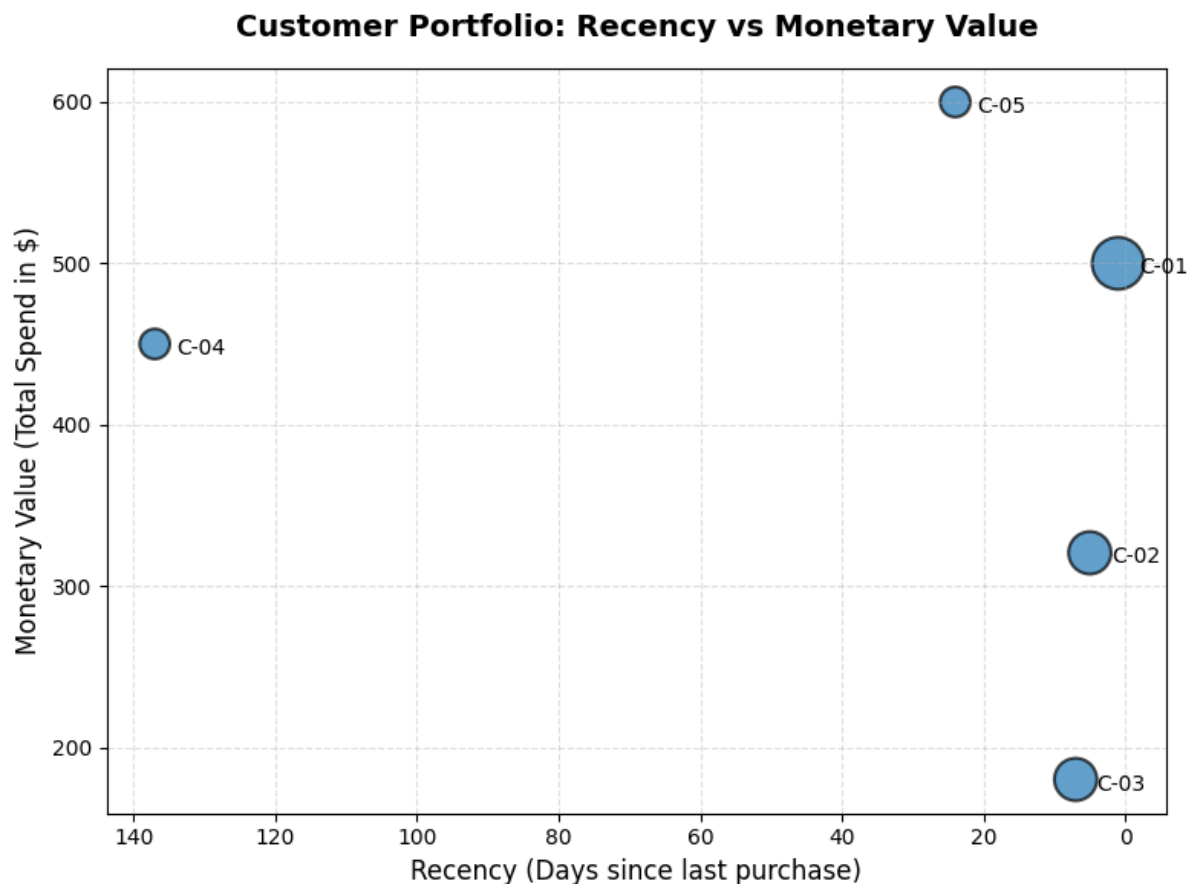
2. Methodology

A transactional database was processed using Python and Pandas to aggregate customer data into three key metrics:

- **Recency (R):** Number of days since the customer's last purchase.
- **Frequency (F):** Total number of distinct transactions made by the customer.
- **Monetary (M):** Total revenue generated by the customer.

The current date for the Recency calculation was dynamically set to one day after the most recent transaction in the dataset to establish a baseline.

3. Visualizing the Customer Portfolio



4. Key Findings & Customer Segments

The RFM model successfully identified 5 distinct customer profiles within the analyzed cohort, revealing clear opportunities for targeted marketing:

- **The VIP / Champion (Customer C-01):**
 - *Metrics:* Recency: 1 day | Frequency: 3 | Monetary: \$500.00.
 - *Analysis:* This is the most loyal and active customer, having purchased just yesterday and leading in transaction frequency. They are highly engaged with the brand.
- **The High-Value Recent Buyer (Customer C-05):**
 - *Metrics:* Recency: 24 days | Frequency: 1 | Monetary: \$600.00.
 - *Analysis:* This customer generated the highest single-transaction revenue but has only purchased once. There is a massive opportunity to convert them into a recurring buyer.
- **The At-Risk Big Spender (Customer C-04):**
 - *Metrics:* Recency: 137 days | Frequency: 1 | Monetary: \$450.00.

- *Analysis:* A high monetary value, but the customer has not interacted with the business in over four months. Immediate re-engagement is required before they are lost to a competitor.
- **The Steady Shoppers (Customers C-02 & C-03):**
 - *Metrics:* Recency: < 10 days | Frequency: 2 | Monetary: \$180.00 - \$320.50.
 - *Analysis:* Consistent, recent buyers with mid-tier spending. They form the healthy core of the active customer base.

● 5. Strategic Recommendations

- **Retention Campaign for C-04:** Deploy a targeted, high-value discount or personalized outreach to win back Customer C-04 immediately, given their high initial spend.
- **Upsell/Cross-sell to C-05:** Introduce a loyalty onboarding program for Customer C-05 to increase their frequency from 1 to 2, leveraging their proven willingness to spend large amounts.
- **Reward Program for C-01:** Offer exclusive early access to new products or VIP perks to Customer C-01 to maintain their current high engagement and frequency levels.